

Notice from the National Commission for Data Protection
regarding Bill No. 8309 implementing Regulation
(UE) 2022/2065 of the European Parliament and of the Council of October 19,
2022 concerning a single market for digital services and amending
Directive 2000/31/EC (Digital Services Regulation) and
amending: 1° the amended law of August 14, 2000 on
electronic commerce; 2° the amended law of November 30, 2022
on competition
deliberation No. 3/AV2/2024 of January 19, 2024

1. In accordance with Article 57. 1.e) of Regulation (EU) 2016/679 of the European Parliament and of the Council of April 27, 2016 on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation) (hereinafter the “GDPR”), to which Article 7 of the law of August 1, 2018 organizing the National Commission for Data Protection and the general regime on data protection refers, the National Commission for Data Protection (hereinafter the “National Commission” or the “CNPD”) “advises, in accordance with the law of the Member State, the national parliament, the government, and other institutions and bodies regarding legislative and administrative measures relating to the protection of the rights and freedoms of natural persons with regard to processing.”

Not having been directly consulted by the Minister of Economy, neither at the draft stage nor at the bill stage, the National Commission nevertheless wishes to express its opinion on Bill No. 8309 implementing Regulation (EU) 2022/2065 of the European Parliament and of the Council of October 19,

2022 concerning a single market for digital services and amending Directive 2000/31/EC (Digital Services

Regulation) and amending: 1° the amended law of August 14, 2000 on electronic commerce; 2° the amended law of November 30, 2022 on competition.

2. Regulation (EU) 2022/2065 of the European Parliament and of the Council of October 19, amending Directive 2000/31/EC of the European Parliament and of the Council concerning a single market for digital services and amending Directive 2000/31/EC (Digital Services Regulation) (hereinafter the “regulation” or the “DSA”) aims to modernize certain national legislations relating to the digital sector. In doing so, the regulation and the related bill impact important concepts related to data protection. In this context, the CNPD wishes to share its observations regarding certain articles of the bill and the regulation that present aspects related to the protection of personal data.

3. This notice does not examine the bill in detail but will limit itself to raising the fundamental issues that arise concerning data protection.

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For a more in-depth analysis of the DSA, reference is made to Opinion 1/2021 of the European Data Protection Supervisor (hereinafter “EDPS”) dated February 10, 2021.

1.

Regarding Article 23 of the draft law

4. The CNPD expresses its concern regarding the current wording of Articles 23.1 and 23.2 of the draft

law as they allow the Competition Authority to make decisions relating to the protection of personal data: "If the central administration or the public establishment consulted does not issue an opinion within the allotted time, this does not prevent the Authority from continuing its investigation and adopting a decision in accordance with this law." The wording of this article does not reflect, on the one hand, Recital 109 of the DSA which states: "This regulation does not impose on Member States the obligation to assign to the competent authorities the task of ruling on the legality of specific content elements." and on the other hand, the intention of the drafters of the draft law who specify in their preliminary remarks: "It is important to note here that the DSC will be responsible for overseeing and supervising the implementation of the DSA, without affecting the competencies of the sectoral authorities already in place. A distinction must be made between, on one side, the regulation of the content itself on the Internet - addressed by sectoral texts - and, on the other side, the coordination of the procedures provided for by the DSA, which is specific to the DSC. Indeed, the DSA does not assign to the DSC the task of ruling on the legality of specific content elements - an exclusive competence of the various sectoral authorities." The CNPD insists that, in the current state of the wording of Article 23, the referral by the Competition Authority to the sectoral authorities is optional, which does not allow for adequate protection of privacy and fundamental freedoms, nor guarantees the principle of legal certainty regarding the points raised. The National Commission finds it appropriate for the drafters of the draft law to revise the wording of the said article in order to find a fair balance between the principle of loyal cooperation and the independence of the various authorities.

5. Furthermore, Article 23 does not provide any clarification regarding the "allotted time" and the modalities for determining it, as a result of which the CNPD fears, in the current state of the text's wording, that its independence may be threatened by the loss of its autonomy concerning its agenda and resources. Indeed, any case presented by the Competition Authority will be treated as a priority by the CNPD in order to avoid any interference regarding its jurisprudence related to the GDPR. This operation will involve a diversion of agents in favor of the Competition Authority for a duration that will escape any control by the National Commission. This loss of autonomy could prove detrimental to the citizen who expects that an authority

1 Opinion 1/2021 on the Proposal for a Digital Services Act:

https://edps.europa.eu/system/files/2021-02/21-02-10-opinion_on_digital_services_act_en.pdf

2 Court of Justice of the European Union *Meta v Bundeskartellamt* C-252/21

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Opinion of the National Commission for Data Protection

Regarding draft law No. 8309 implementing Regulation (EU) 2022/2065 of the European Parliament and of the Council of October 19, 2022, on a single market for digital services and amending Directive 2000/31/EC (Digital Services Regulation) and amending: 1° the amended law of August 14, 2000, on electronic commerce; 2° the amended law of November 30, 2022, on competition

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independent body for the defense of fundamental freedoms to be completely autonomous in its management and to carry out its missions in complete freedom and independence.

6. On the other hand, the CNPD is concerned about the consequences of a strict application of the text as proposed, particularly in its first paragraph: "[...] To this end, the Authority may access, as soon as possible, any document and information held by the relevant central administration or public establishment that is useful for the accomplishment of its mission." The wording as proposed does not recognize any limits in its application and could target all information held by the National Commission. In this regard, the CNPD questions the possible implications of this article concerning its independence and management in accordance with Article 52 of the GDPR, as well as the consequences of such a provision given the wording of paragraph (2) of Article 23 of the draft law. Indeed, since the referral to sectoral authorities is not mandated by the current wording of the draft law, the CNPD fears that it may be permissible for the Competition Authority, once in possession of all documents held by the CNPD, to interpret these documents and information that would have been provided subsequently based on paragraph (1), and thus, to make decisions regarding data protection without having previously

consulted the National Commission or depriving it of a reasonable time frame to formulate its opinion. The CNPD further notes that the drafters of the draft law express themselves in this sense in the commentary on the articles: "In this case [failure to meet the deadline], the Authority may continue its investigation and adopt, if necessary, a decision based on the available information and opinions expressed by other public administrations, or based on its own expert judgment." The CNPD would therefore like to see access to its documents and information restricted to the situations specified by the case law of the Court of Justice of the European Union and particularly in cases where the Competition Authority has doubts regarding: "The scope of the assessment carried out by the [CNPD] or the lead supervisory authority, when the behavior in question or similar behavior is simultaneously under review by these authorities, or when, in the absence of an investigation by said authorities, it considers that a company's behavior is not in compliance with the provisions of the GDPR."

7. Furthermore, the CNPD welcomes the intention of the drafters to establish a working group in order, as they specify in the explanatory memorandum of the draft law: "to ensure a proper application of the DSA." However, the National Commission would like to draw attention to the fact that the drafters of the draft law have not expressly considered, in the current wording of the draft law, the structure, resources, and functioning of the working group. It could indeed prove beneficial to determine the participants of such a group, its operational budget, and its short, medium, and long-term objectives. The CNPD believes that the legal framework for such a group would ensure a healthy application of the DSA and respect for the various competencies granted to the different sectoral authorities, which are not defined in the draft law. Furthermore, the CNPD wishes to clarify that this requirement for cooperation has been appreciated by the Court of Justice of the European Union in the case *Meta v Bundeskartellamt* C-252/21.

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regarding draft law No. 8309 implementing Regulation (EU) 2022/2065 of the European Parliament and of the Council of October 19, 2022, on a single market for digital services and amending Directive 2000/31/EC (Digital Services Act) and amending: 1° the amended law of August 14, 2000, on electronic commerce; 2° the amended law of November 30, 2022, on competition.

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Court of Justice of the European Union through consistent case law: "Thus, given this principle [of loyal cooperation], when national competition authorities are called upon, in the exercise of their powers, to examine the compliance of a company's behavior with the provisions of the GDPR, they must consult and cooperate loyally with the relevant national supervisory authorities or with the lead supervisory authority, all of these authorities being then required, in this context, to respect their respective powers and competencies, so that the obligations arising from the GDPR as well as the objectives of this regulation are respected and that their useful effect is preserved." In this context, the National Commission regrets that the drafters of the bill did not choose to go further in framing said cooperation.

8. For the reasons expressed above and under the principle of legal certainty, the National Commission deems it necessary, on the one hand, that access to its documents and information should be limited to what the National Commission considers necessary for the reason presented to it, and, on the other hand, that the authors of the bill grant the CNPD powers in the context of the articles presenting a significant inference with the GDPR as listed below.

II. On the OPPORTUNITY to designate the CNPD as the competent authority for certain articles of the DSA

9. According to the explanatory memorandum of the bill, the designation of the Competition Authority as coordinator for digital services aims to implement Article 49 of the DSA. While it is clearly stated that Article 49 allows the Member State the option to designate multiple competent authorities, as is concretely envisaged by France, Lithuania, and Finland, the explanatory memorandum remains silent on the reasons that led the drafters of the bill not to foresee a designation of the CNPD as the competent authority. In this regard, and considering the potential inferences of the bill with the application of the GDPR, the National Commission wishes to share its observations in light of certain

articles of the DSA and the bill, which, if they fell under its competence, would allow for a better application of the GDPR and the DSA.

10. Based on the following elements, the CNPD would like the drafters of the bill to consider the opportunity to assign competence to the authority for the protection of data concerning certain specific articles of the DSA:

4 See in this sense judgments of November 14, 1989, (14/88, EU:C:1989:421, paragraph 20), and of June 11, 1991, (C-251/89, EU:C:1991:242, paragraph 57).

5 French bill: <https://www.senat.fr/leg/pjl22-593.html>

6 Lithuanian bill: <https://e-seimas.lrs.lt/portal/legalAct/lt/TAP/35b2f692fe1611edbc0bd16e3a4d3b97>

7 Finnish bill: <https://www.lausuntopalvelu.fi/FI/Proposal/Participation?proposalId=861bdfd6-8f38-409a-8f5b-91e08b98c072>

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1. Article 25 of the DSA

11. Article 25 aims to regulate the use of "dark patterns" or "deceptive designs" by online platform providers. While it remains appropriate for various sectoral authorities to refine a precise definition of the terms "dark patterns" and "deceptive designs," the CNPD has so far considered "deceptive design practices and practices aimed at trapping the user" as such. In this context, the CNPD draws the attention of the drafters of the bill to the fact that the said article expressly excludes from its scope practices covered by the GDPR and Directive 2005/29/EC. However, the National Commission specifies that a uniform definition of the notion of "dark patterns" should be adopted by the Luxembourg sectoral authorities to ensure optimal legal certainty and respect for fundamental freedoms. In this context, the CNPD specifies that it has had the opportunity, through European working groups, to produce guidelines concerning this specific area. In any case, the application of this article implies a coordinated action by the relevant Luxembourg sectoral authorities to determine the contours of each authority's competencies; consequently, the CNPD would like the bill under review to establish a framework for enhanced cooperation between the various authorities, for example, by utilizing the working group that the drafters wish to establish. In this regard, the CNPD considers it appropriate for the drafters of the bill to specify a strict delimitation of the areas of competence concerning the control of "dark patterns." This strict delimitation could be achieved, for example, by developing within the bill a definition of the terms "dark patterns" and "deceptive designs" in relation to the DSA and the GDPR. A second option would be to include the drafting of such a definition as one of the objectives of the working group desired by the drafters of the bill. In this way, the CNPD and the Competition Authority would be able to clearly and effectively sanction practices falling within their respective competencies.

2. Article 26 of the DSA

12. Article 26, which regulates advertisements on online platforms, is closely linked to the GDPR in that, on the one hand, Article 26.3 prohibits personalized advertising based on the profiling of sensitive data as defined in Article 9 of the GDPR, and, in this context...

8 Guidelines on cookies and other trackers - CNPD Version of 03.01.2022

9 Guidelines 03/2022 concerning "deceptive design patterns" or "dark patterns/deceptive design" in social media platform interfaces: how to recognize and avoid them (free translation) - "Guidelines 03/2022 on Deceptive design patterns in social media platform interfaces: how to recognize and avoid them"

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****CNPDP****

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****12.**** Furthermore, Article 26.1.d) of the DSA determines the information and means of control that the recipient of an advertisement must have.

****13.**** Moreover, the CNPD wishes to point out that the Finnish legislator considers granting competence over Articles 26.1-a), b), e), and d) of the DSA to its data protection authority in situations where the advertisement used does not have a commercial objective. In doing so, the Finnish legislator is pursuing efficiency in the area of personal data protection and privacy.

****14.**** Additionally, it seems appropriate to note that the CNIL, the French data protection authority, has been granted competence regarding Articles 26.1.d) and 26.3 of the DSA, in a concern for consistency and proper application of the GDPR. This attribution of competence is deemed effective, as noted by the said data protection authority: "The CNIL believes that this new attribution of competencies is logical insofar as these provisions only reinforce, for online platform providers, certain specific obligations arising from the GDPR. The correct application of the provisions of Articles 26 ('advertising on online platforms'), 27 ('transparency of the recommendation system'), and 28 ('protection of minors online') of the DSA, which refer more or less directly to issues related to data protection, will require coordination among the designated competent authorities [...]".

****15.**** In any case, the CNPD proposes that it be designated as the competent authority for all provisions related to Article 26.3 as well as Articles 26.1.b), e), and d) of the DSA.

****3. Article 27 of the DSA****

****16.**** Article 27 "Transparency of the recommendation system" aims to enable a recipient of an advertisement (e.g., a user of a social network, who is often a "data subject" under the GDPR) to understand why a specific advertisement targets them and on what basis. The article specifies that recipients of advertisements must be explained, in simple and understandable terms, the means available to them to modify or influence the relevant parameters. The CNPD thus notes that this article aims to explain to users how profiling works, as well as to detail the value of each personal data used by the recommendation system.

****17.**** To the extent that this article is based on the notion of profiling and that profiling relies on users' personal data, the CNPD believes that it is the responsibility of the personal data protection authority to ensure that full transparency is provided to the data subjects.

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****18.**** The CNPD reminds, in support of its statements, that the European Data Protection Board (EDPB) has already had the opportunity to express its views on profiling through the publication of guidelines and that consequently, this is a subject on which the CNPD possesses a certain level of expertise.

****19.**** Furthermore, the principle that information must be understandable and easily accessible,

which is specified in these terms by Article 27 of the DSA: "Online platform providers that use recommendation systems shall establish in their general terms and conditions, in simple and understandable language," is a recurring theme within data protection. Therefore, the CNPD already has the skills and experience necessary to ensure compliance with this provision.

****20.**** Article 28.1 requires online platform providers to implement "appropriate and proportionate measures to ensure a high level of privacy, safety, and security for minors on their service." This same article prohibits in its paragraph 2 online platform providers from using a profiling system "using personal data concerning the recipient of the service as soon as they have reasonable certainty that the recipient of the service is a minor." The CNPD considers that it possesses the necessary skills and expertise to ensure compliance with this article; indeed, it notes that this obligation bears significant similarities to the objective described by Recital 38 of the GDPR: "This specific protection (that granted to children) should, in particular, apply to the use of personal data relating to children for marketing purposes or for creating personality or user profiles and to the collection of personal data relating to children when using services offered directly to a child." It further specifies that special protection for minors is already guaranteed by the GDPR in Article 8 "Conditions applicable to children's consent in relation to information society services" and that Article 40.2.g) of the GDPR grants the data protection authority the possibility to encourage the creation of codes of conduct regarding "the information communicated to children and the protection afforded to children and how to obtain the consent of holders of parental responsibility regarding the child." Moreover, the CNPD reminds that it has considerable experience in profiling and tracking.

****21.**** Finally, since the CNPD already has the competence to assess the appropriateness of the processing of personal data, it would be appropriate to assign it the responsibility of enforcing Article 28.3 of the DSA, which states: "Compliance with the obligations set out in this article does not impose on online platform providers the obligation to process additional personal data to determine whether the recipient of the service is a minor."

****22.**** Therefore, the CNPD recommends that the drafters of the bill designate it as competent for the entirety of Article 28 of the DSA.

Thus adopted in Belvaux on January 19, 2024

The National Commission for Data Protection

Tine A. Larsen

President

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Marc Lemmer

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